



Weekly CAN/U.S. Media Report
Prepared by: Directorate of Continental Materiel Cooperation
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Key Procurement and Defence Relationship Stories

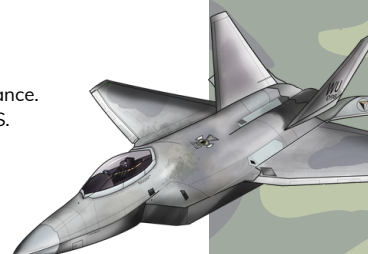
1. Saab offer gains traction as Canada weighs sovereignty vs U.S. integration

Source: TFI Global (citing CBC) (June 9, 2026)

- Saab is offering Gripen fighters, GlobalEye surveillance aircraft, and full technology transfer.
- The proposal includes access to source code and greater Canadian control over upgrades and maintenance.
- This contrasts with the F-35 program, where sustainment and upgrades are tightly controlled by the U.S.
- Canada continues to review its F-35 commitment amid broader tensions with the U.S.

Key Implications

- This highlights a key trade-off in procurement decisions:
 - U.S. platforms offer strong capability and interoperability
 - Alternatives offer more control and flexibility for Canada
- The Saab proposal directly appeals to concerns about dependence on U.S. systems.
- Procurement decisions are increasingly influenced not just by performance, but by control, flexibility, and political context.



2. Canada pushes for U.S. tariff relief during USMCA negotiations

Source: Holland & Knight / S&P Global (June 12, 2026)

- Canada is seeking relief from U.S. steel and aluminum tariffs as part of USMCA review discussions.
- The U.S. enters negotiations with significant leverage, making concessions uncertain.
- Tariffs continue to affect key industrial sectors, including those tied to defence production.

Key Implications

- Trade policy is directly affecting defence procurement costs and timelines.
- Canada remains heavily exposed to U.S. decisions on critical materials like steel and aluminum.
- This reinforces the need to consider trade risks when planning procurement and industrial strategy.

3. Ongoing Canada–U.S. trade tensions shape broader environment

Source: Bloomberg / BNN (June 8–12, 2026)

- Canada–U.S. trade talks remain uncertain ahead of the USMCA review.
- The U.S. continues to use tariffs across sectors as negotiating tools.
- Cross-border supply chains remain under pressure due to shifting U.S. policies.

Key Implications

- Economic pressure from the U.S. is becoming a consistent factor in bilateral relations.
- This has indirect but real impacts on defence procurement through increased costs and uncertainty.
- Canada's push to diversify suppliers is partly a response to this broader pressure—not just a military decision.

4. Canada–U.S. defence cooperation continues despite tensions

Source: Forbes (June 11, 2026)

- Canada continues to work closely with the U.S. and allies on operations and defence production.
- Joint efforts include support to Ukraine and collaboration on equipment manufacturing.
- Partnerships are helping to expand production capacity and speed up delivery.

Key Implications

- Despite political and trade tensions, defence cooperation remains strong.
- Canada is still deeply integrated with U.S.-led military and industrial systems.
- This reinforces the reality that Canada cannot fully separate from the U.S., even as it looks to diversify procurement.

